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China Economics

Macro Take on Recent Outbound Investment Tightening

CITI'S TAKE

The government/ministries have launched a series of actions tightening China's outbound investments. We do not view them primarily about curbing capital outflows but see the main policy focus on closing regulatory loopholes and strengthening domestic policy effectiveness. For ODI, national security is viewed as a rising policy concern, while for portfolio flows, what happened is an enforcement action rather than a new regulation. We expect the macro impact to be limited, as we believe the backdrop of RMB appreciation and Middle East flows into Hong Kong could alleviate the negative impact. Implementation details, second-order taxation concerns, and further opening via official channels are three things to watch. We don't see the crackdown on illicit outflows undermining [RMB internationalization](#), as the latter runs via official and legal channels.

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What happened? — The government/ministries have launched a series of actions to tighten China's outbound investments lately. [1] State Council released new outbound investment regulations expanding coverage to individuals and consolidating national security, data, and technology controls into a single unified framework ([Gov](#), Jun 1st). [2] CSRC and other ministries issued action plans to rectify illegal cross-border securities, futures and fund operations ([CSRC](#), May 22nd). CSRC singled out its investigations on three brokers and imposed penalties to confiscate gains from onshore brokerage activities since 2023 ([CSRC](#), May 22nd). [3] HK SFC ([SFC](#), May 22nd) and HKMA ([HKMA](#), May 22nd) issued guidance on account openings and management for mainland investors. Increased scrutiny has rippled into [Hong Kong property](#), insurance ([SCMP](#), Jun 1st), and private banking ([Bloomberg](#), Jun 5th).

Why, why now, and how much impact? — The policy focus, in our view, is on closing regulatory loopholes and strengthening domestic policy effectiveness. Unlike in previous episodes, there is little RMB depreciation pressure now, and unexplained capital outflows, as we calculated, appear manageable.

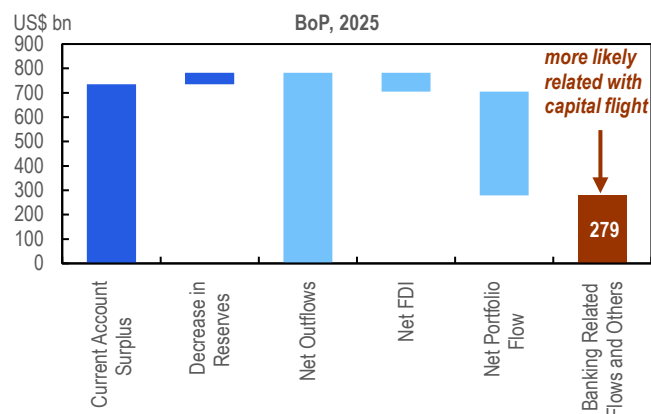
- **ODI:** National security considerations are growing, particularly amid the AI race. Tighter scrutiny over technology and data, and the extension of controls to individuals, are unsurprising, in our view.
- **Portfolio flows:** The crackdown is *not* new regulation but an enforcement action. The three named brokers were flagged by CSRC as early as 2016 ([CSRC](#), Jul 26th, 2016), with a prior tightening round in 2022 ([CSRC](#), Dec 30th, 2022). The timing may also dampen the market impact from the move: the RMB is in an appreciation cycle, and Middle East funds could be flowing into Hong Kong post the conflict ([The Standard](#), Jun 1st).

Macro impact looks limited. ODI is structurally set to rise as Chinese firms expand abroad. On portfolio flows, the named brokers could hold ~HK\$250bn in mainland customer assets ([Bloomberg](#), [May 28th](#) and [Jun 2nd](#)). The impact could be measured even if the rectification expands to other channels, such as [Hong Kong property](#).

What to watch ahead? — [1] [Implementation details](#) are key to watch. The three brokers are likely the first targets of tightened scrutiny, and further expansion to other brokers or regions would not surprise us. A broadening of scope to insurance, WMPs, private equity, and property remains a possibility. [2] [Taxation](#) is an induced second-order question, in our view, particularly with funds rerouting back to the mainland. Personal income tax growth rose to 11.5%YoY in 2025 and accelerated to 12.2%YoY this Jan–April, partially as the government steps up tax collection on overseas gains ([Xinhua](#), Jan 16th). [3] [Expansion of official outbound investment channels](#) could follow, though likely gradually. An increase in QDII quota (US\$176bn now), a broader WMP connect rollout beyond the Greater Bay Area and pilot program of insurance connect are all possible options. Closing the back door won't prevent opening the front door wider, in our view.

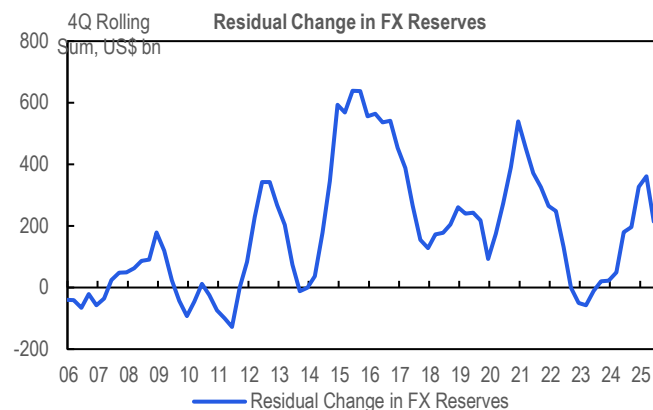
Capital controls undermine RMB internationalization? — Curbs on *illicit* cross-border flows need not [undermine the "golden window" for RMB internationalization](#), in our view. Flows associated with RMB internationalization run through official channels, including QFII, Bond Connect, CIBM Direct, Stock Connect, and others, and are unaffected. Hong Kong's role as a connector is not likely to be materially undermined, supported by RMB appreciation and continued Middle East fund inflows. If anything, enforcement of capital control strengthens our view that RMB internationalization still has a long way to go as the PBoC tries to find the right balance in the classical trilemma.

Figure 1. Unexplained capital outflows from the BoP – a likely upper bound for capital flight appears manageable



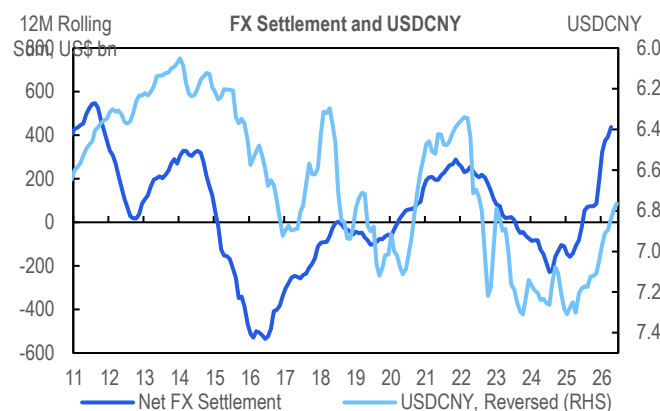
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Source: SAFE, Citi Research

Figure 2. The capital outflow pressure could be smaller compared with the episode in 2015



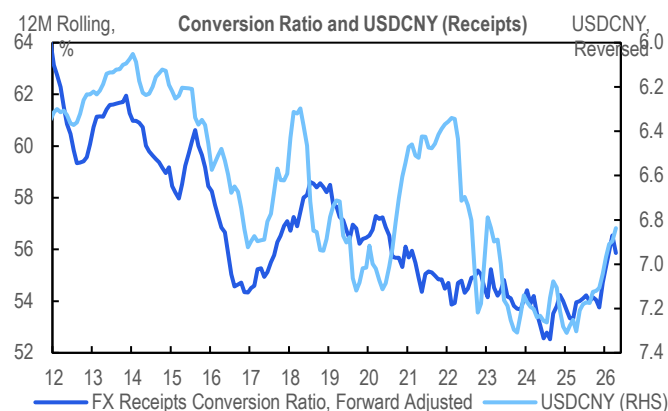
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Figure 3. There is little RMB depreciation pressure now with FX settlement...



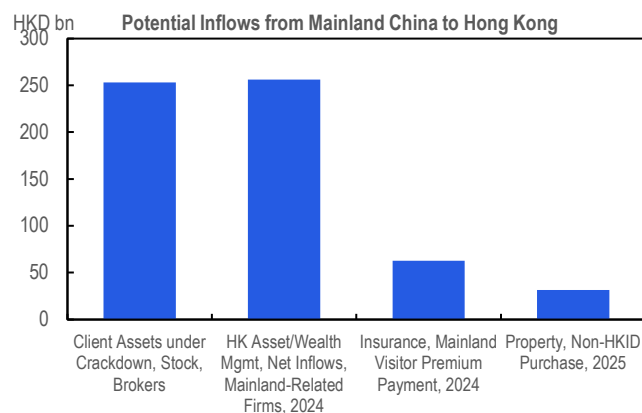
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Figure 4. ... and exporters' conversion ratio both rising



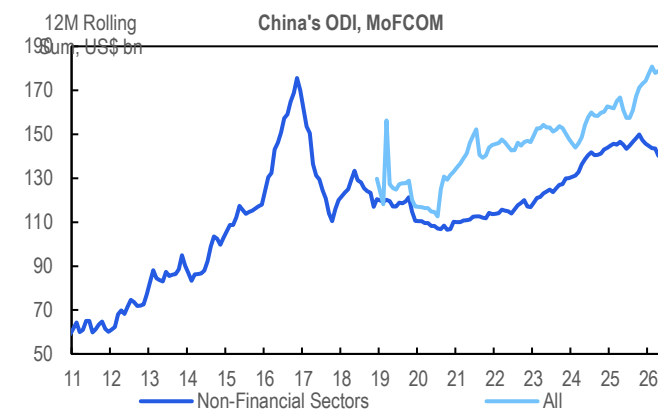
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Figure 5. The macro impact from this round of outbound investment tightening looks limited



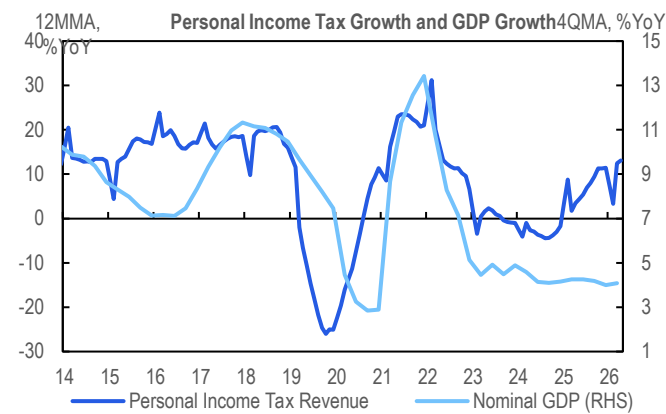
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Source: HKIA, HK SFC, news reports, Citi Property Research, Citi Research

Figure 6. China's ODI could be on a structural upward trend as Chinese corporates search for growth engines



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Source: MoFCOM, Wind, Citi Research

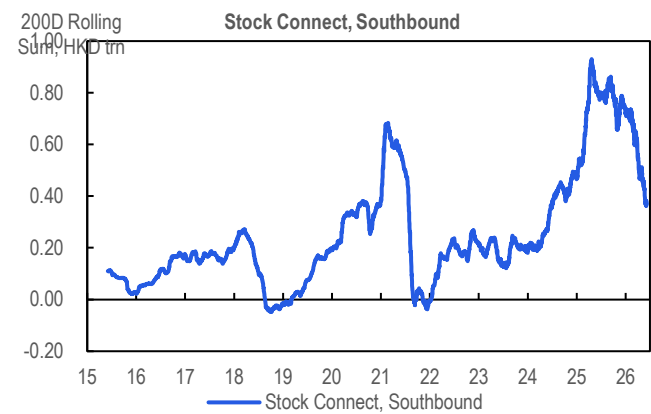
Figure 7. Taxation concerns could follow the tightening on portfolio flows



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Source: MoF, NBS, Wind, Citi Research

Figure 8. The expansion of official channels is one thing to watch, with Stock Connect showing need to diversify



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Source: Wind, Citi Research

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